a dependent on someone else's tax return), you are allowed one personal exemption. If you're married and you file a joint return, you and your spouse are each entitled to a personal exemption. You also get an additional exemption for each child you have. If you earn a very high income, however, you may not be entitled to any exemptions.

The other type of tax break is a **deduction.** Deductions are specific expenses that the government allows you to subtract from your taxable income, thus reducing the amount of tax you pay. (For an example of how this works, see the box on chapter 9). Uncle Sam offers deductions for certain expenditures. For instance, to encourage people to buy homes (which has been seen as a good thing for the economy), the government allows taxpayers to deduct the interest they pay on their mortgages.

There are two distinct ways to take advantage of deductions. The simpler way is to take the **standard deduction,** which is a fixed dollar amount that Congress allows all taxpayers to subtract from their income. Even if you don't participate in activities that are deemed deductible by the government, you still get to take the standard deduction—everyone gets it. (Technically, you subtract your standard deduction from a figure known as your **adjusted gross income,** or **AGI.** Your AGI is basically your gross income minus special deductions known as "adjustments." Don't get bogged down in the technical details of how to determine your AGI now. When you fill out your tax form you'll be able to calculate it.) In 2009, the standard deduction for a single person was $5,700. For a married couple filing a joint return, the standard deduction was $11,400. These figures are adjusted each year for inflation.

A more complicated but potentially more rewarding method is to **itemize** your deductions. Itemizing means listing the specific "items" that are deductible according to current tax rules and then subtracting their cost from your AGI. If you choose to itemize your deductions, you cannot take the standard deduction. It's one or the other.

Whether you should itemize or take the standard deduction depends on the specifics of your financial life. The following two sections describe some potential itemized deductions. Once you read through them, make your own list of the itemized deductions that are relevant to your life. If the total of your itemized expenses is greater than the standard deduction, you should itemize. If the standard deduction is greater, you should take the standard deduction. It's that simple. In the event you *do* itemize, make sure